

EXPERT TAKE

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Is China's Surplus Really Shrinking?

Look past the gold imports, and China's trade surplus is still climbing.

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CFR EXPERT

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The Economist is now arguing that China's trade surplus has peaked.

That is a strange argument, as the “real” (price-adjusted) trade surplus is still growing. Net exports have contributed positively to China's growth in Q1 and Q2.*

But it also isn't an argument that stands up too much scrutiny. It goes away with a single adjustment.

Chip prices are up, and China imports a ton of chips.

Read more about China's trade surplus here.

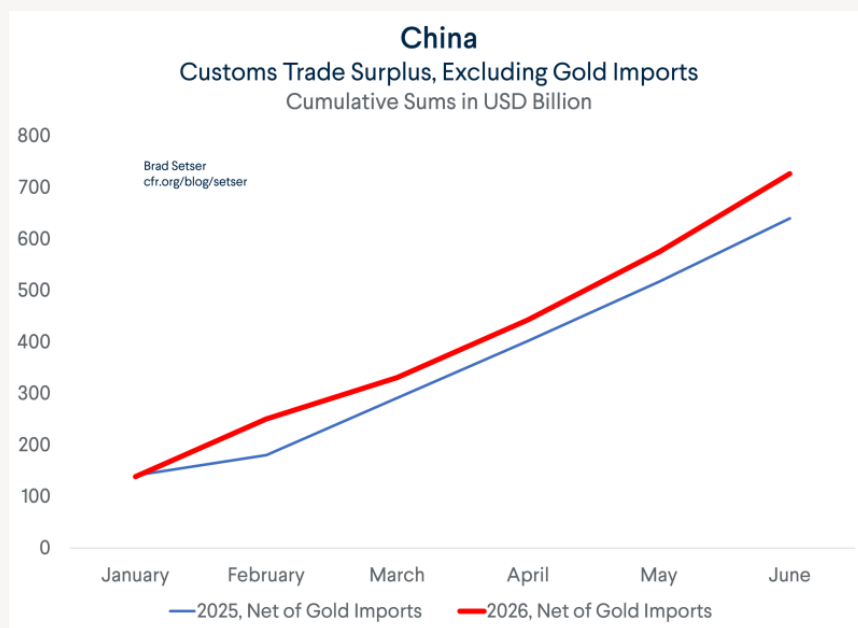


exports of chips are up almost as much as its imports.

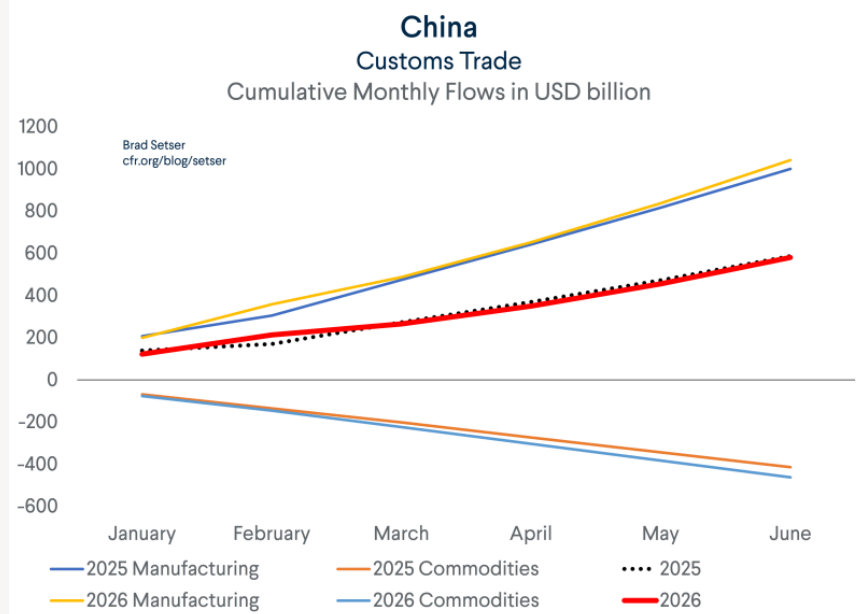
China imports a lot of oil but that too isn't the needed adjustment. The price of oil imports is up but import volumes have famously collapsed; the commodity import bill is up, but only modestly.

The critical adjustment is to net out imports of gold —year-to-date imports in 2026 are \$146 billion, nearly \$100 billion above the 2025 H1 total. In q2, gold imports were an incredible 1.5 pp of GDP, so the gold deficit now exceeds

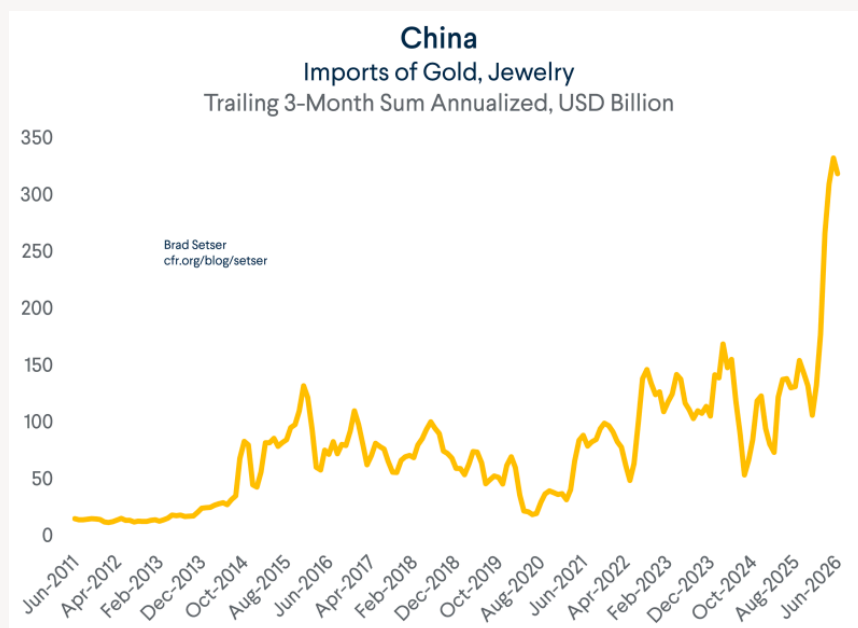
Without that import surge, the overall goods trade surplus would be up by over \$80 billion in the first half of 2026.



Yes, there are changes in the commodity balance and the manufacturing balance too. See the “raw” numbers from China’s customs, which haven’t been adjusted for gold.



But gold is the critical adjustment to the headline number, not chips or oil (to my surprise to be honest).** The surge in imports, over a period when gold prices are down, has been massive.

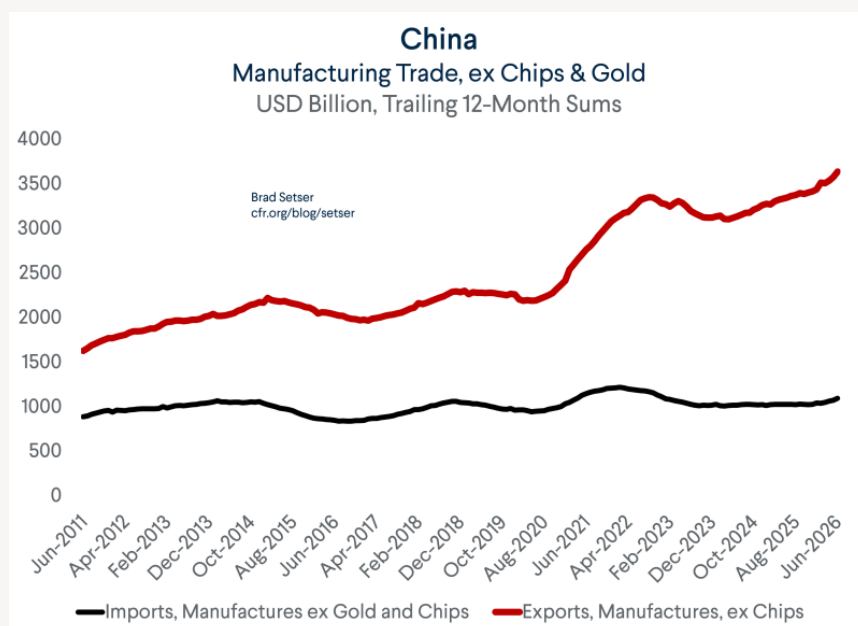


Facts are pesky things.



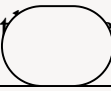
The underlying Chinese surplus is still heading up, just as the underlying U.S. deficit is now expanding (because of “AI”/ data center investment and a big fiscal deficit).***

The easiest way to see this is to look at Chinese trade in manufactures excluding chips and excluding gold (refined gold is classified as a manufacture, the commodity is gold rich ores).



Exports are up. This shouldn't be a surprise: auto exports are absolutely booming, and imports are still flat.

This isn't to say that chips aren't important—China runs a deficit there, and that deficit expanded just a bit.

But the main driver of the increase in China's reported manufactured imports was  in chip

prices, which has clearly been huge, and that factor also inflates exports.

And all this is more dramatic when examined in higher frequency numbers. Without the surge in gold imports the overall surplus would have been up significantly in the second quarter even with the (big) rise in chip prices.



There is a secondary point here.

Chinese import and export prices didn't move much in the first quarter, and then jumped in the second quarter. China's statistical authorities were slow to recognize the "chip" shock and the broad impact of higher memory chip prices in particular.



This did end up distorting China's import and export volume data in the first quarter (if the dollar value of trade rises and import and export prices don't rise, statistically there is an increase in the volume of trade).

This reduced China's reported Q1 growth (the net export contribution should have been bigger). And because gold is in the Q2 data in a big way (offsetting the fall in oil imports), true import in Q2 were likely overstated... and that pulled down reported growth a bit as well.

All these adjustments though are complex. The easiest way to see what is happening is just to focus on the manufacturing surplus without gold and chips. It keeps on rising.

In fact, without the 1.5 pp of GDP in gold imports in q2, the goods surplus would be close  of GDP --

an absolutely massive number for an economy as big as China.

The trend is clear. Too bad the financial press missed it.***

*The NX contribution, which is the change in the “real” trade surplus, was +0.8 pp of GDP in Q1 and +0.9 pp of GDP in Q2.



** The composition of China's imports has evolved rapidly in the last few months. The chip price surge has had a huge impact. So I was expecting it to have a bigger impact on the "net" than what actually shows up in the numbers. This is a case where rigorous analysis that decomposes both exports and imports is needed.



*** The 2025 U.S. trade data also needs to be gold-adjusted, by the way. The threat of tariffs had a huge impact on the Q1 data, and reversal of the flood of imported gold bars (which are in manufactures...) was a big reason for the relatively low U.S. trade deficit in Q4 and Q1.

**** The rapid increase in auto export volumes, both globally and with respect to Europe, should have given the Economist pause before it embraced the arguments of Adam Wolfe of Absolute Strategy Research. Too many China analysts are trying to obscure what should be obvious: China continues to rely heavily on exports for growth.

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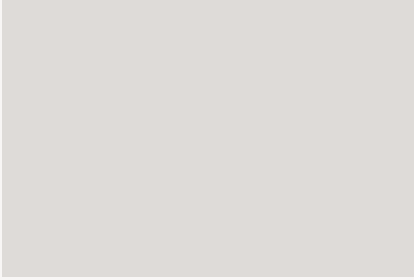
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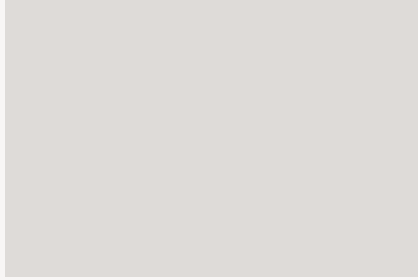




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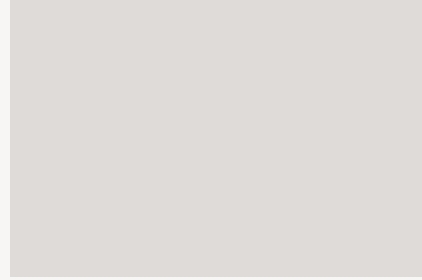
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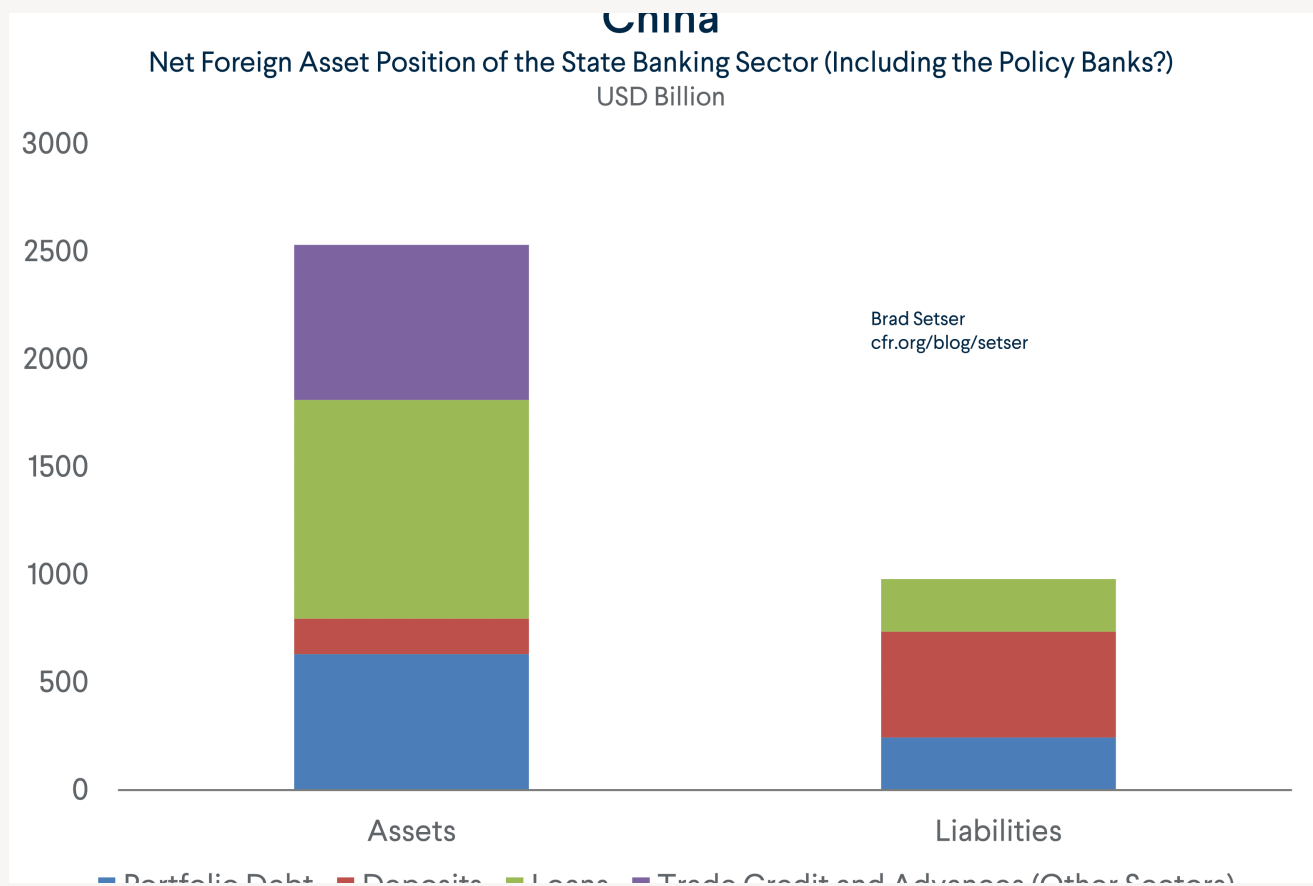


EXPERT TAKE

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China's New and "Improved?" BOP Data

China promised a better balance of payments report. What it delivered instead is a set of implausible numbers that deserve a closer look from the IMF.



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China released its “improved” balance of payments data for the first time at the end of the first quarter.

It isn’t much of an improvement. If I was an external referee, I would argue that the IMF should ask China to revise and resubmit.

In theory, China was going to provide a bit more of a breakdown of its investment income returns. And it did provide a line item for its Q1 FDI returns (\$30 billion, a 3.3 percent implied return), as well as its non-FDI returns (\$36.5 billion, which works out to a return of under 2 percent on China’s non FDI assets; SAFE managed 3 percent in the low for long era from 2011 to 2020).

The new and improved data was also supposed to break out its portfolio investment and banking data (“Other”) by sector.

That breakdown is comically bad.

“Portfolio equity, government” is usually where the foreign equity investments of sovereigns are

reported. It is here where, for example, Singapore's Government Investment Corporation enters the data. And where Korea's massive National Pension Service enters the data. And where Norges Bank Investment Management enters the data.

Yet China reported a zero.

That is obviously false. The CIC reported \$451 billion in “foreign “Financial assets at fair value through profit or loss” at the end of 2024—it obviously has an equity book. And most people think China's \$400 billion plus National Social Security Fund (the analogue to Korea's National Pension Service) has a modest foreign portfolio. Zero is clearly not the right number.

Consider loans under “Other investment.”

\$1.015 trillion of the total \$1.030 trillion in loans were from “deposit-taking corporations.”

That makes sense, you might think, as banks take in deposits and make loans.

Except two of China's biggest lenders—the China Development Bank (CDB) and Export-Import Bank of China (China Exim)—aren't “deposit-taking corporations.” The policy banks raise funds by selling bonds to the market -- and of course that includes selling bonds to the “deposit-taking corporations.”



The total here also doesn't line up with other data sources.

For example, the foreign currency sources and uses table for the state commercial banks that the PBOC publishes monthly reports \$409 billion in foreign currency loans.

That leaves up to \$600 billion for RMB-denominated loans, or potentially for the CDB and Exim if China bundled their external lending with the state banks (presumably the policy banks should be a line item under "other financial institutions" but that is clearly not what China did for "loans").

Now look at "Trade credit and advances":

China reports \$720 billion in total credit credit assets. Zero though come from the banks (hmmm) and all are in "Other sectors"—that has to be Exim (most of it is short-term as well, \$706 billion of the whole \$720 billion).

The thing here is that everyone who has worked on frontier market restructurings or looked at China's external lending—say, to Zambia, Sri Lanka, or Ecuador—knows that Exim and the CDB provided a lot of credit to these countries. To Angola and Venezuela too.

So, it isn't really plausible that all the long-term loans are from deposit-taking corporations (the policy

banks) and all the trade credit is short term and from

“other financial institutions” (though China didn’t do any breakdown of “Other” in its reporting...)

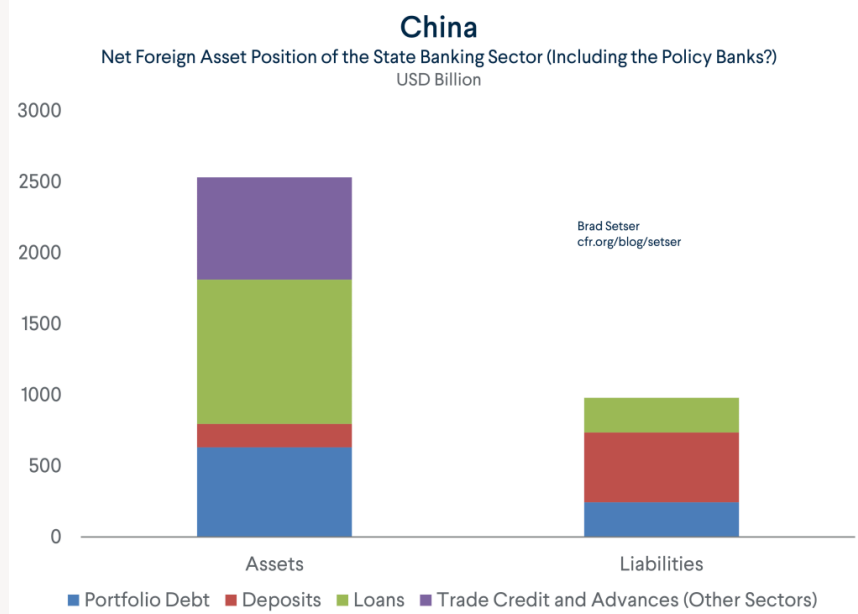
In fact, China’s disclosure here is so obviously incomplete that the IMF should send it back and ask China to resubmit with some real numbers.

The IMF statistics department likes to say that it doesn’t judge the quality of its members’ data. That has been its excuse for not challenging the results of China’s “survey-based” methodology for calculating the transfer of value tied to “exports” in the current account.*

In this case, China clearly didn’t make much of an effort to produce real numbers. Bad reporting is almost worse than incomplete reporting.

The available disclosure did let me estimate the net foreign asset position of the deposit taking institutions and the policy banks in the NIIP -- it is roughly \$1.5 trillion. But it would be nice to be able to break this out by the obvious regulatory categories that China uses -- namely the commercial banks and the policy banks. That was the point of the exercise, not getting obviously incomplete entries for the key line items.**





* The official position of the Bureau of Statistics is that China is correctly implementing its latest guidance note, unlike the U.S.—never mind the quarterly inconsistencies that have developed with the new methodology, and never mind that China cannot credibly explain the source of the gaps created between the current reported numbers and what the numbers would be under the old customs-based methodology.

** A number of emerging economies do produce good, detailed balance of payments data -- Korea, Brazil and Turkey all come to mind. All have very complete data, and all actually report monthly. China, with a very controlled financial account, should have a much easier time generating high quality data. The low quality of its latest disclosure will only add to the questions many have about the accuracy of China's external reporting.

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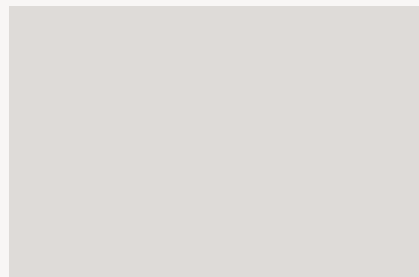


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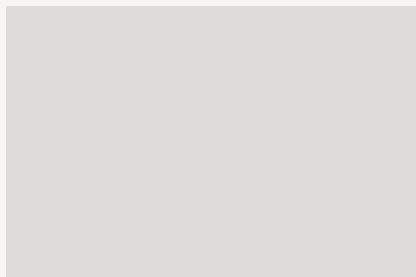
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China's Transnational Repression Is Being Met With a Deafening Silence

By Joshua Kurlantzick

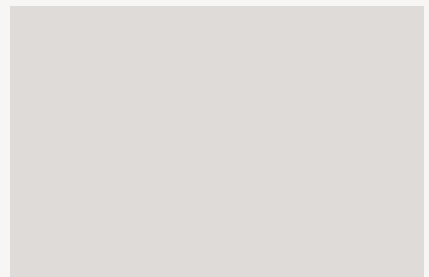
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By Joshua Kurlantzick

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